

ADCLOD Podcast Series with Social Impact Founders

Episode 17: Ravi Sreedharan, Indian School of Development Management

Neharika Vohra: Welcome to the ADCLOD podcast series with social impact founders, an initiative by the Ashank Desai Centre for Leadership and Organisational Development at IIM Ahmedabad, where we document and celebrate the leadership journeys of India's homegrown social entrepreneurs who have built impactful institutions from the ground up. This episode particularly explores the efforts of developing and supporting such leaders.

Neharika Vohra: In today's episode, we have the privilege of speaking with Ravi Sreedharan, founder and president of the Indian School of Development Management, known as ISDM, based in New Delhi. Ravi spent 24 years in the corporate world, building a career at HSBC across Asia, the Middle East and Africa, serving as regional marketing head, head of consumer products for Asia-Pacific, and eventually as CEO and President Director of Bank Ekonomi in Indonesia. In 2011, at 49, he walked away from all of it. He returned to India and joined the Azim Premji Foundation, where he led education leadership development and management, working from village schools to national government programmes. In 2016, he founded ISDM. A decade on, it has become a national institution for training development managers, building sector knowledge and advancing development management as a discipline, anchored in a distinctive framework of knowing, doing and being. Ravi, we are delighted to have you with us today. Welcome to this podcast.

Ravi Sreedharan: Thank you so much, Neharika.

Neharika Vohra: Thank you. Ravi, let's dive straight in. I know you are a graduate of IIM Ahmedabad. It would be very interesting to hear about your journey after you left IIMA, and what took you to ISDM.

Ravi Sreedharan: Thank you for the question, Neharika. It's an absolute privilege to be doing something like this with my alma mater, so I'm really proud to be back at IIM Ahmedabad, and with you — I've known and heard so much about you too.

After I graduated from IIM Ahmedabad, all of us from that generation needed to get into jobs and earn money, because our fathers were retiring by then — we were the social security for our parents. So I started a career in the corporate world. I've always looked ahead and planned my life. When I left IIM Ahmedabad I was very excited about the creative space, so I joined advertising and was at Lintas for a few years. Then I saw credit cards happening around us — that was when credit cards had just been launched in India. I was fascinated by the whole idea, and was fortunate to get a job as head of marketing for Standard Chartered Bank's cards business in 1992. I launched cards for them, and I generally followed a career in the corporate world. By the traditional yardsticks, you could say I was very successful. I did very meaningful roles in multiple geographies, and by the age of about 45, I was the CEO of a reasonably sized bank. So I ticked that box too — probably way beyond my own aspirations when I started out.

That's when I was bitten by the question: what are you doing in life, and what is its purpose? It was a combination of things, which I won't get into, but I decided to quit my corporate job. You could say that's a foolish time to quit, because that's when you're earning a lot of money — you've worked all those years for it. But honestly, beyond a basic level, money was no longer exciting. We all came from fairly middle-class, if not lower-middle-class, backgrounds anyway. I came back to join the Azim Premji Foundation, thinking, let me see if I can bring some of my corporate experience to the social sector and make a difference. I had benefited from the ovarian lottery of being born into a certain family, but also from a good school education. So I wanted to work in school education, because I felt that's where a lot of children can benefit and move across socio-economic brackets.

That was humbling. I worked across the deserts of Rajasthan, the hills of Uttarkashi, the forests of Chhattisgarh — all over the country. I had never had the opportunity to travel to the deepest corners of the country, to villages where you walk across riverbeds or climb hills to reach them. That was very humbling, because when you come in as the CEO of a bank, you come with a lot of the arrogance of meritocracy and the belief in your ability to do things. A lot of that got smoothed out, if I can put it very politely. I did that for five years, and it was a very interesting journey. I was working on education leadership and management, so the question of leadership and management kept repeating itself.

I then decided to do a social experiment on myself. I wanted to know whether I was doing all this for my ego, or because I genuinely wanted to make a difference to people's lives. So I decided to go and work in a school in a remote village, to see whether I would be proud to say I work in just one school, compared with the Azim Premji Foundation, where I was working across so many schools in so many states, reaching 40 to 50 million children. That was even more humbling, because when you try to run a school on the ground — you can have all these fancy policies, you can work with MHRD, but running a

school on the ground is so different. Through all of this, the question of leadership and management in the development space was part of my thinking, probing and investigating.

Eventually, I remember asking myself: I studied at IIT and IIM for very low fees at the time — subsidised by the taxpayer. What have I done for the taxpayer? I looked at my life and said, well, I've only given a good lifestyle to my own family. That's when I got to the idea that if I could make a difference to the management of organisations working in the development space, that could be a huge contribution — and I can explain that as we go along. So I started ISDM ten years ago with three other co-founders, one of whom was my batchmate from IIM Ahmedabad, Sharad Agarwal. We started with very big ambitions. We said, if there is business management for business and public administration for government, what do we have for civil society and development work? Let's build that whole pillar of management — a whole new discipline. Our ambitions were very big for the kind of names and backgrounds we had, but we pursued the idea that we should do what's right. And that has taken over my life for the last ten years. I'm completely dedicated to building talent for managing development work in this country. That's been my journey, and I keep looking forward to see where it takes me next.

Neharika Vohra: Amazing. So tell us, Ravi, what does ISDM look like today? What programmes do you run, what kind of alumni do you have, and how has the institution been funded and governed?

Ravi Sreedharan: ISDM today is the only institution in this country working on the entire ecosystem of development management. That was influenced by some very good people who advised us that it's not enough to produce students — you also need to build the ecosystem. Organisations should be ready to accept your students; you need faculty who will teach the programme; you need books and case studies so that the knowledge of development management is captured. So the first thing I would say is that we are the only institution in the country, and maybe even in the world, dedicated to building the ecosystem for development management.

Second, today we are an attractive place for young people who want to pursue careers in development management. We have a Postgraduate Programme in Development Management — an 11-month programme. We modelled it a little on the Indian School of Business, not so much out of admiration for ISB as because that was the way we believed it was right to do it. It's not a diploma or a degree — it's a certificate. That's our flagship programme. As I speak, the tenth cohort is at ISDM. We've graduated just under 600 students, and today they work in over 400 organisations across the country. We've been monitoring our alumni very closely, almost like a longitudinal study, and we find that after about three to five years, almost two-thirds of them are responsible for about 25,000 beneficiaries. That's the kind of influence they are having. At least 75% are setting up or leading development programmes wherever they are. But one statistic I'm particularly proud of is that one in three ISDM alumni have gone on to set up their own social ventures. So we obviously have a very powerful ecosystem there. That's the talent side, and the flagship.

The other thing is knowledge creation. We've written some 45 case studies on management that are indigenous to India. We've set up centres of excellence to expand thinking in the development space on development management opportunities — for instance, innovative finance: how do you bring risk capital into what is traditionally a grant space? We have a Centre of Excellence on Data Sciences for Social Impact — in a world of artificial intelligence, how do all those lovely inventions actually work for a better society and a better planet? So we do a lot of knowledge work. We've created at least about 145 what we call knowledge assets — frameworks, studies, different ways of looking at how you lead and manage development organisations. We have also been working with organisations to engage them, so that they accept development management and change the way they work and the way they're structured. By now we have worked with at least 2,200 individuals across more than 500 organisations.

So that's significant influence. And finally, Neharika, we started something called Dialogues on Development Management, which brings people in the sector together to talk specifically about management issues in development organisations. There is no other conference like it in the country, and you'll be amazed to know that today it has become the biggest conference in the development sector in the country. We get over 1,000 to 1,200 attendees, and all we discuss are the management challenges of development sector organisations. So in many ways we are also evangelising — spreading the narrative of development management in the country. And perhaps we'll pick up later in the conversation what we're looking at for the next 25 years and how we're preparing for it. But this is where we are today.

Neharika Vohra: Excellent. The question that comes to my mind immediately is that this can't be the work of one person. There must be a lot of people involved. How do you find the people to do this work, and how do you actually build the organisation itself?

Ravi Sreedharan: As you said — if I think about where I started, it was with the question, what is the management required for the development sector? I knew it was not the same as business management. But the answers came from many, many

people over these ten years. In the initial phase, Neharika — and I'm not exaggerating — we spoke to a minimum of a thousand people across academia, practice, business management and philanthropy, mostly in India but also outside. In those conversations, there were many who got excited about the idea. Some of our first people were ones we had gone to for conversations. Not all of them came fully — some were part of a project team, some gave us time, some helped us with the design. That was the initial source.

Then, as we went along, we kept talking to people. We attended every development conference and presented ISDM in different forums, and we'd meet very interesting people. Almost everyone who joined ISDM in the first five years was someone we had met and spent time talking with, sometimes for a couple of years, before they actually joined — because then you know this person is passionate about the question. Somewhere deep down, they believe this makes sense, and they want to meaningfully steer their careers or lives into this space. That was a huge process. It wasn't so much by design, but it happened that way: you spend a lot of time, and eventually you pop the question — would you like to come and build this for us, or do this kind of work? And because we were starting a totally new discipline, with so much to be done, people could do work they were passionate about. For example, someone came to us who wanted to build a life in philanthropy, because she came from a philanthropic family. I said, why don't you build a centre of excellence on philanthropy? And we built that.

So in the first five years we almost tailored roles to each individual. But in the last five years, Neharika, we've become very attractive to a lot of very bright young people. We get a lot of interest through social media and in response to our job postings. I was recently quite amazed to see that something like 80% of our staff are either postgraduates or PhDs, so obviously we are attracting people of a certain type. Another group is young people who have worked in the field or already started their own NGOs, and who are now beginning to realise why development management matters. That's where we found them.

The second question is how you prepare them. It's not that we had a formula — we had a box of ideas to start with, and lots of dialogue. When we started ISDM, we began what we now call Dialogues on Development Management by inviting 10 or 15 outside people at a time, with all of us from ISDM also there, discussing things like: what does strategy mean in development management? What does systems thinking mean in development management? Lots of discussion, and that continues even today. For a young person joining us for the first time, the induction itself is a month-long process, but beyond that, a lot of discussion happens in our weekly meetings, monthly meetings and town halls on various aspects of development management. A lot of it — and we'll talk more about knowing, doing and being — is about what it means for me, as a person, to be in the development management space. What do I bring to this organisation, to my workspace, when I come in every day? There's a lot of discussion about culture — what culture you need to create. So to answer your question: we prepare them through a lot of discussion, and a real openness to accept and adopt ideas. It's not, "this is the way we're going to do it; if you want to join me, join me." No. This is the broad idea, and as more minds come in, we keep shaping what we're trying to do.

Neharika Vohra: Excellent. This is almost how any discipline develops.

Ravi Sreedharan: Isn't it? Yes.

Neharika Vohra: I mentioned it earlier, and you have also alluded to the pedagogy of knowing, doing and being. What does each of these dimensions mean, how does it apply to the development sector, and why so much focus on it there?

Ravi Sreedharan: When I first came into the social sector, I had ideas about bringing in standardisation, efficiency, productivity and all the good things from my own management life. Very quickly, I started realising that doing business — working with a product or service — is one thing, and working with human lives is another. In this space, you're trying to lift somebody's life out of poverty, abuse, marginalisation, disability, or whatever it may be. There's a human being involved in the process. It's not a machine or a raw material or capital I'm working with — I'm working with human emotions, and that is very complicated. That's the starting point for why development management needs to be thought through differently. Otherwise, I too started by saying, I've done management in banking, others have done it in IT, so we can do it in the sector. But I realised very early that the moment you're dealing with human beings, they are complex and dynamic, aspirations change, and there are power structures in society. How do you bring all of that in?

So the first element is the obvious one — knowing. I need to know about society, how to design things, and so on. The second is doing: how do I design something, how do I engage with the community, how do I work with the different people I need to work with? The being part is the one that is almost completely unique to this space. It comes from the fact that, at a very basic level, if I'm working in development, I am by definition a privileged person — that's why I'm working in the development space. And therefore I don't actually understand the real experience. As we say in our classrooms, you will never know what it means to be a girl going to sleep on a pavement in Bombay, not knowing whether she'll stay safe through

the night. You'll never know what that is. Yet you're going to take decisions on how her life can be made better. How do you do that, when you don't really understand what it means? That's a huge blind spot.

So you first have to develop the humility to know that you actually don't know the problem. Humility, for example, becomes a very important part of being. Second, I may have grown up in a part of society where I never realised how caste manifests itself. I might assume that because I've read enough about caste, I understand it as a problem — but it's a very cognitive idea. I have my own lived experiences, biases and prejudices. Whether I like it or not, I'm a function of what I've lived. So I have to understand what my lived experience is, and recognise that it may not match the reality on the ground — and so begin to accept how much diversity there is in human beings and their experiences. This whole space of knowing that you have biases and prejudices, being able to set them aside reflectively, and then actually look at a problem and work through it — that's what makes the being aspect more and more important. And there are other aspects. For example, what is your vision of a good society? What does it mean to be fair to everybody? If you're going to work towards that, you need an idea of universal human values — justice, humaneness, fraternity, and so on.

Now, you could argue that that's all good stuff, but the critical piece is that it has to affect the way you approach management. Knowing and doing need to be significantly influenced by being. If I'm a patriarchal male chauvinist and I don't recognise it, I will be dangerous in the social sector. If I just say, I've read about it, I understand it, I'm going to work on it, without realising that I think a certain way, behave a certain way, have ingrained certain ideas and am blind to them — that's very dangerous. So being becomes super critical in this triad of knowing, doing and being.

Neharika Vohra: Very fascinating. In process work, too, we often talk about knowing, doing and being needing to be in line with each other, because very often they are not. It's fascinating that you have brought this into the development sector. What I hear you saying is that if my being is not consistent with what I want to do, I am dangerous to the work I do. If I heard you right, you've also done leadership training with 500-plus organisations. I'm curious: what are some of the leadership challenges you've seen in development sector organisations? This is something we know very little about.

Ravi Sreedharan: There's a lovely phrase I heard from a gentleman that comes to mind every time I meet organisations in the development space. He said that in the development sector, organisations are over-led and under-managed, whereas in the world of business, organisations are over-managed and under-led. I found that very interesting, because it's exactly what I see. People are very passionate and very committed to what they want to do, and they have an idea of how social change will happen. But their ability to manage the organisation is so weak, it's not even funny — the ability to manage money, processes, governance, data, technology, partnerships. It's a struggle, because somewhere along the way, people in the development sector have rejected management. And if I may say this — knowing I'm saying it on an IIMA podcast — they've started saying, these management people are the ones who caused all the problems, so don't tell me management will come and solve them. That's the bias, or prejudice, that exists in the sector. There are prejudices and biases in the corporate world too, but this is the one in the sector. So, willy-nilly, the notion of management has been rejected over the years, and today that competency is almost non-existent.

I try to tell people: you're taking a community on a bus. You're very good at working with the community — you're feeding them, making them happy, doing all these things. But you're forgetting to take care of the bus. Then the bus breaks down somewhere, and now your community suffers, because you can't take them any further. That's the big challenge I find in the sector. Coming from a corporate management background, where management is everywhere — you just assume you need to be good at people management, processes, supply chains, Six Sigma, whatever it is — it isn't here. For me, that's very stark. That's the first thing.

Having said that, there's a new problem that has emerged in the last decade, which is the corporatisation of the social sector. Some of us from the corporate world have come into the sector, and a lot of the funding comes from people who made their money in the corporate world. A certain mindset is coming in — efficiency, productivity, what I call the quarter-to-quarter mindset — which is also dangerous. I have to explain why you're not going to change education every quarter. Unless you think long term and work on the underlying challenges causing the problem, you'll never get there. And the last part is a tendency to work on the symptoms without going into the deeper issues. A lot of organisations are on an activity track without asking whether anything is actually changing because of their work — and often it isn't, because they're working on the symptoms. Textbooks aren't there, so give textbooks. You want schools, so build schools. But what are the underlying reasons? How is education perceived? How is gender perceived in education? What is a child's learning process, and how is that being thought through? So there's — apologies for the word — an element of shallowness, which is also very dangerous.

So there's the absence of management; second, the corporatisation of the sector, which is a problem; and third, solving problems at the level of symptoms rather than working on the deeper causes of why the problem exists in the first place. And

the last one, which is less acknowledged because it's less obvious, is being overwhelmed: oh my God, how do I work with this problem? Poverty is so big — what can I do? Where do I start? We do a lot of work with people on understanding that while your circle of concern can be very big, you need to know your circle of influence, so that you know what to focus on and don't get overwhelmed. Those are the kinds of things I see, by and large.

Neharika Vohra: Very interesting. Corporatisation, as you mentioned, is becoming part of the ethos. But funding agencies also sometimes push organisations to produce nice-looking reports and keep reporting in a certain way. Have you figured out a way to deal with that, with the organisations you work with or the people you're developing for the sector? And my second question is: how does one really help people work at the level of the deeper problem, and not just the symptoms? Is that something you also address?

Ravi Sreedharan: Coming to funding — one of my biggest learnings in the sector has been that if the system is designed in a certain way, that's why things happen the way they do. We wonder why, in spite of so much work, nothing is changing, and you've rightly picked out funding as one of the issues. For example, we have a Centre of Excellence on Philanthropy for Inclusive Development, because we found — just to give you a data point — that 70% of philanthropy in this country goes to the top ten states by GDP. So philanthropy itself is going in the wrong direction. I tried to analyse why. Now I'll say something that may not go down well with many of my own alumni and batchmates. If you take the spectrum with the grassroots worker at one end and the philanthropist at the other, who is most knowledgeable about social issues and social work? Obviously the grassroots person understands them best, and the one who understands them least is the philanthropist. Until the philanthropist realises they need to invest in coming closer and closer to the grassroots end, you will make very serious errors. Unfortunately, today the philanthropist is at one end and grassroots workers at the other, and that gap is very dangerous.

So where do I work? Of course I need to work with the grassroots side, but the bigger group to work with is philanthropists. As I tell people, if you're working on poverty, all of us run to the poor person and think about what to do with him or her — whereas maybe poverty wasn't caused by that person; it was caused somewhere else, and you have to go and solve the problem there. Similarly, I feel this problem needs to be solved at the philanthropists' end more than at the end of organisations in the sector. There's work to be done on the organisations' side too — I'm not exempting them. But there isn't an ecosystem that helps philanthropists understand what inclusive philanthropy means, or when philanthropy is actually effective. Today, they learn in echo chambers. Philanthropists go to a philanthropists' club or group and talk to each other about what's working and what isn't. You don't see a grassroots person in that room, or someone bringing that knowledge into the room.

I think a big way to change the wrong kind of funder influence is to work with funders on understanding social change better. One of the biggest things is how a philanthropist can involve the organisations they work with in the philanthropy process. There are some very good examples. Dream a Dream, which I worked with, is a fantastic organisation. Recently I was hearing about LGT Venture Philanthropy, which assesses an organisation and then gives it money for whatever it wants the money for. If the organisation says, I want to send my people for training, they say fine, here's money for that — they don't question it. Whereas a lot of philanthropists want to see how much of their money goes to, say, the app, and things like that. That's my interpretation of how the system is imbalanced and how we need to change that balance.

Neharika Vohra: That's very insightful. Have you figured out ways to bridge this gap — to make it smaller, or get more people moving towards both sides?

Ravi Sreedharan: Absolutely. Our Centre of Excellence on Philanthropy for Inclusive Development does a lot of work on that. For example, we've created a six-point framework for philanthropists on how philanthropy can be more effective and more inclusive in the development process. That's the theory, because that's also our space. The other thing is simply getting both groups into the room. At our development management conference, we try to bring both philanthropists and social sector organisations into the room. There are challenges, because it then becomes a power equation, where social sector organisations are there just to get a philanthropist's business card for fundraising. So the fault is on both sides. But one solution is getting both into the room.

The second is broadening these philanthropy discussions. Instead of closed echo chambers, how do we expand them to include a more diverse group of people? You could talk to people in government to understand what's happening in some parts of the village; you could talk to social sector CEOs to understand what they've learned. So building more diversity and richness into those conversations is one thing. And the third is that I believe we need to build a whole ecosystem for developing professional philanthropists. For me, philanthropy is not only about having money to give. It's also about having the skills to understand the role philanthropy plays and how it can drive social change — and about building an ecosystem for

training and helping philanthropists, creating knowledge and studies for them, and so on.

Neharika Vohra: Very interesting. Coming back to my other question, on symptoms versus the deeper problem — I don't think this is just a philanthropist's problem. Sometimes social sector organisations also end up looking only at symptoms. What are your thoughts on that, and what actions have you been taking?

Ravi Sreedharan: That's a very, very serious problem. My softer side goes towards the organisations and my harder side towards philanthropy — only because my friends and batchmates are on that side. Sometimes organisations are being driven by the funder: funding won't come unless I show a result or the numbers within six months. That's one side. But coming back to organisations, many do end up working on the symptoms. One of the reasons — and one of the reasons ISDM was set up — is that when I, as a privileged person, look at a social problem, I think I know the answer. I can see children are very poor at maths; I'm good at maths, so let me go teach them. No — just because you're good at maths doesn't mean you can teach maths. Teaching maths requires understanding how you teach it and how a student learns it. You have to invest in those underlying areas. The problem is that when you go in with a surface-level idea — I know maths, so I'll teach it — that same logic gets carried forward.

Many people who come into the sector have not been trained in design thinking, systems thinking or participatory approaches. These are structured processes — to use modern language — and nobody in the sector has been taught to use them. So it's very much, what do I feel in my heart, what are my immediate thoughts, and I just go and do that. It's like finding a child begging at a traffic signal: you think that by giving money you've solved the problem, but you've actually worsened it, because you don't understand that the system is designed with some mafia working behind it, and by giving money you are perpetuating that mafia and bringing more children into begging. That's a problem in the social sector. Many organisations work at a symptomatic level because — and I'm not trying to sell ISDM — there isn't an institutionalised process for preparing development sector professionals.

There are social work institutions, and I think they attempt some parts of it, but this is a management challenge. It's the equivalent of strategy in the world of business. Social sector strategy is about first understanding the ecosystem, then understanding the layered nature of problems, and second, their intersectionality. You work on education without realising that gender affects education, nutrition affects education — and unless you realise that, you wonder why things aren't changing. The girls are dropping out, and you wonder why: I'm giving them meals, toilets, whatever. The layered nature isn't understood well enough, and neither is the intersectional nature. There are many who get it. Those of us from a management background know that you have to create structures, institutions and long-term processes to build those capabilities.

Neharika Vohra: Of course. As a follow-up: the country has a lot of social work master's and bachelor's programmes. My assumption was that they would be teaching some of this. What's your experience?

Ravi Sreedharan: There are some really good social work schools. The Tata Institute of Social Sciences would obviously be right at the top — they've done phenomenal work over the 78 years they've been around — and there are a fair number of social work schools across the country. I try to explain this with an analogy from business, since I'm sitting with someone like you. In the world of business, there are the technical people — engineers, chartered accountants and so on, who are technically qualified. There are researchers, who come up with ideas and create new products. And then there are the managers, who bring it all together to make it a commercially viable proposition, build shareholder value, and so on. In the social sector, the technical people come out of the Master of Social Work programmes. They understand working with communities, field mapping, counselling — a lot of that work. Then there are programmes like the master's in development studies, which get into the science of it — the philosophy, sociology and anthropology of development, and how you work on it. That's the "what ought to be, what is possible" kind of thing. But there's nobody in the third bucket.

Neharika Vohra: The managers.

Ravi Sreedharan: The managers — and these managers are not necessarily the same as business managers; they're managers for the social sector. That space has remained empty, because somewhere social work schools have said, we don't need management — keep it away, this is social work, it has nothing to do with management. But you must understand that management has nothing to do with business. Management is management — doing whatever you want to do well and effectively, and getting the results you want. That you have to do it a certain way in business, and a different way here, is completely acceptable. But don't throw the baby out with the bathwater. So social work schools are doing a great job — they produce the best social workers — and some of their graduates also learn development management as they go along. Even in the world of business, plenty of people have figured out management on their own, but that's not a structured, institutionalised way of doing it. If you go to a social work school, you won't see a semblance of management there.

Neharika Vohra: Interesting — because this has been an argument at IIM Ahmedabad as well. A lot of people say we're not a school of business, we're a school of management, and that's why we should be able to apply it to almost any domain. Business is just one such domain.

Ravi Sreedharan: Why else would IIM Ahmedabad have a JSW School of Public Policy? If it were only a business school, you wouldn't have a public policy school, and so on.

Neharika Vohra: Absolutely. I also resonated, when I read about your philosophy of developing the head, heart and hand in synergy — which is also what Gandhiji spoke about in his Nai Talim. What does it really mean in practice to build the heart and the hand? The head gets developed in a lot of ways, but how do you bring the other two in?

Ravi Sreedharan: I don't think I need to argue for why you need the head, heart and hand, because in the social sector it isn't just a cognitive exercise — making a PowerPoint like an investment banker and getting a huge arbitrage or leverage. This is about actually changing people's lives. How do you connect with communities, with the grassroots? So knowing that you need to work with your head, heart and hand is, I'd assume, the easier part. How you teach it is the more difficult part, and that's been a journey of learning for us. We have had to innovate significantly on pedagogy to bring those aspects in.

First, we start with a lot of discussion around values, because when you start talking about values, it's no longer cognitive — it's the heart. How do you feel about something? How do you stand up for what is right or fair? A lot of that kind of work happens, and much of it isn't a teacher teaching a student. It's a facilitated process of drawing things out — the process work you talked about earlier. How do you bring out a person's emotions, surface them, let them engage with other thoughts in a room or group, so that they come back in a very different form, mixed with different ideas? For us, diversity is a very powerful thing. We've been very fortunate that from the first batch, we've had students from at least 20 states. So we've leveraged that diversity to help students understand what it means for a Tamil Brahmin who eats only vegetarian food — probably only things that grow above the ground — to be in the same room as a girl from Nagaland who eats pork for breakfast, lunch and dinner. They start realising, I had such bad ideas about non-vegetarians, and now I've completely changed, because this girl is so amazing. So diversity is one very powerful element we bring into the process of teaching, and we've designed our pedagogy around it. From the day you come in, you're in a group. All learning happens as a group, not as an individual — individual learning will happen anyway, but it's all within a group structure, and that group is always very diverse. That's one pedagogical element.

The second is the concept of the bricoleur. Bricoleur is a French word that, in a very simple sense, means a handyman. For us, it's one person or faculty member attached to about eight to ten students, who works with them throughout the year and constantly connects the dots across hand, head and heart. When students are engaging with a question and someone is thinking about it cognitively, the bricoleur will be there to ask: have you thought about how you feel about a question like that? What would a farmer feel if he heard the conversation going on in this room? So there's a pedagogical intervention throughout the year. And the third is experiencing the reality on the ground. You go on a rural immersion for two or three weeks; you design your own programme; you decide to stay in a farmer's house or sleep on the veranda of a school; you talk to all sorts of people and come to understand things.

All of these are part of the process, and one of the things we've found — now, after ten years of work — is that people come back and ask us, how are you able to teach your students humility? I don't have a curriculum on humility anywhere. Everything we do is about values, fraternity, participation, inclusiveness. But what it ends up doing is bringing a lot of humility. And Neharika, in the social sector, humility is the most powerful thing you can have. If you have humility, you will listen to others. You won't come with the ego that you have all the solutions. You'll involve people. And second, you become a great learner, because the moment there's humility, you'll constantly learn — you believe you don't know everything. It's fascinating how it all comes back to that. This is what makes the student experience at ISDM absolutely unique. When students leave, almost 92% go on to refer new students to us, and almost all of them attribute their lives and successes to ISDM. But one word they always use is "transformational" — ISDM made me a different person; I think differently, I interact differently, the energy I bring to a group is different. So there is transformation at the personal, interpersonal and group levels. And for us, that transformation is a key part of becoming a development management professional.

Neharika Vohra: That makes so much sense. And humility coming out as a happy by-product of the work you do is a great thing.

Ravi Sreedharan: Yes, it's a fascinating thing.

Neharika Vohra: Coming back to the social sector as it is, since you've experienced so much of it: the people we hire in the social sector are often paid lower salaries, the work is less defined, career paths are very fuzzy, and the work is emotionally

demanding. In your work with organisations, do you hear about these issues, and how do organisations manage them? Are there insights for how someone leading in the social sector can deal with them?

Ravi Sreedharan: This is a very serious issue in the sector, and it goes back to the old idea of rejecting management — and, somewhere, of rejecting money as a relevant factor. Traditionalists in the social sector have believed that you don't come to work in this space for money; you come for altruistic reasons. And there are many people, by the way, who do work that way. But does that create an institutionalised process for people to become professionals practising in the sector — with passion, commitment and humility, but also investing themselves in it? Today, the social sector is at the bottom of the pyramid when it comes to salaries. So few people come in, either because they don't need the money — they're already well off — or because they don't get other jobs and this is the only one available. Those are the wrong profiles. You want people who want to build a career in this space, who have other choices but chose to come here. That's passion, that's commitment. My own view is that you need a far better balance on the monetary side.

One thing ISDM did — and believe it or not, nothing like it existed — was the first-ever national salary benchmarking survey for the social sector. Some individual organisations might have done their own. We did it to hold up a mirror to the sector: this is where you're paying, and this is how it compares, within the sector and outside it. The gap was huge. Today the sector pays about 25 to 40% of what people would earn outside it. Giving up 75% of your income is a lot of money. That's the first side. The second is very interesting: our talent survey studied what motivates talent in the social sector today. The findings showed that yes, money is not at the top for them — it might be higher for someone in a corporate job, with its reward and remuneration structures. Here, if I remember right, money came in third place. But it is number three. Don't assume money isn't important. Number one is passion, and number two is learning — purpose is a very important part of what motivates a person. But they say money matters, and the sector has to accept that. I think that's changing — that's one of the good things about corporatisation. Obviously you also don't want to reach a point where the driver is money rather than passion and social change.

So it's a very delicate balance. Sometimes people in the sector get upset with me because I keep pushing for better pay, and they say, you'll start attracting people for the wrong reasons. Yes, beyond a point you will — but there's a nice big range within which you can operate. You don't have to pay investment bankers' salaries, and I don't think people expect that either. Money is number three.

Neharika Vohra: Just decent money.

Ravi Sreedharan: Keep it at a socially acceptable level — enough to pay for the basics and so on. That's a huge issue, and it drives a lot of churn and attrition. One part is the salary itself. The second is that a lot of funding runs on grant cycles. There's a three-year grant and a three-year project, and at the end of the third year, suddenly a bunch of people have lost their jobs. They're out on the streets. So there's insecurity: when the third year comes around, they all want to quit and find another job, because they don't know whether the funding will be renewed. That creates a lot of anxiety and angst in the system, and people leave because they aren't getting what they want — while senior people are trying to run an organisation where they keep losing people they've invested in. It's a very serious problem in our sector.

Neharika Vohra: How are the cultures of these organisations? Are they cohesive, with good teamwork, or is it still each person for themselves?

Ravi Sreedharan: There's obviously a whole range in how culture works within organisations. But one sad reality I find is that we talk about a society that is just, humane and sustainable — yet when I ask organisations whether they are running a just, equitable, humane, sustainable organisation, there's a big question mark, and that bothers me. I tell people: how can you say women should be treated equally outside, when you look at your own top leadership and there are hardly any women? Something isn't right. In development management, one thing I say is that you first have to run your organisation as a microcosm of the world you are trying to create outside. Otherwise it's completely hypocritical, and that cannot be.

So in development management, you have to build organisations that are non-hierarchical, that believe in the agency of every individual in the system, and that recognise that identity matters. Our leave policy, for example, is: take as much as you need. If your mother is unwell and you need four or five weeks, or two months, please take it. You have to bring in those kinds of ideas, because they recognise that each individual is different and has different circumstances. And nobody comes and says, you gave them two months, why didn't you give me two months — I also want a two-month holiday in Indonesia. Nobody says that, because they know that when they have that kind of need, they will get it too. So I think organisations have to change significantly. And this is also development management: how do you build and sustain organisations that are a microcosm of the world you want to create, one that doesn't create inequities?

For example, I believe that in development management, collaboration is very important and competition is not. In the world of business, competition is critical, because it drives a lot of the results and value created. Here, it's about collaboration. And if it's about collaboration, you can't have a reward structure with high performance bonuses — that doesn't make any sense. Unfortunately, today we've copied a lot of systems from the corporate world, so here too we have performance-based increments and beating the competition. Then you've lost the whole point of what you want to create in the world. So it requires a very big reimagining of how organisations in this space are led and managed — to be a microcosm of society, and also because that's when you'll be effective.

Neharika Vohra: Absolutely. One more question on leadership in the organisations you work with: what kinds of resistance have you found from leaders when you present some of your ideas or ask them to do certain things?

Ravi Sreedharan: There is a lot of resistance. It's amazing how low the standard of understanding and use of data is across the entire social sector — it's so low, it's scary. Sometimes I ask, do people who are bad with numbers come into the social sector because you don't need numbers there? Numbers are a very big problem in the social sector. Finance, too — when you start talking about basic things like budgeting or unit economics. Ask somebody how much it costs to build a well, and they don't know; they just know, "there's this much money in the project, and we have to work in 300 villages." Unit economics, budgeting, things like the time value of money — now I'm getting a bit deeper. So data is very poor, and finance is very, very poor. The third is technology. There is serious resistance to technology. This is a human space we're working in, and I agree we shouldn't lose the humanity. But how do we make humankind's latest inventions work for humanity? That's the point I keep making. These are areas where I find resistance. It's far easier when I tell them we need to think in systems, figure out how to make things participatory, or how impact measurement should be done. It's the more managerial aspects — and as you know, I'm not bringing them standard business management at all — where I find much more reluctance.

The other is reluctance across types of organisations. I'll give you a simple example. When we did the salary benchmarking survey, we categorised grassroots organisations, intermediary organisations and philanthropic organisations. We got 100% of the data we asked for from grassroots and intermediary organisations, and close to zero from philanthropic organisations. So the willingness to be transparent about how much you pay your own employees — when you ask your grantees about their salaries, their families, everything — but your own data is off limits. That's quite shocking. How do you build more transparency and openness? Without transparency, trust starts to go. Why would a social sector organisation trust you, when you ask why their overheads are more than 10%, while your own overheads are at 50% or something like that? There's no credibility left in that. So we are starting to dismantle some of those issues.

Neharika Vohra: One last question in this domain. Obviously you charge for some of this work. Is that a constraint? Are organisations unwilling to spend money on training their people or on organisational development, or is there a fair amount of openness?

Ravi Sreedharan: No, it's a serious problem. As you would know, Neharika, in most management schools, executive education is the money-making part, because people pay for it. For us, executive education is a loss-making area, because not everyone wants the training, and nobody has the money to pay for it. But again, if you leave the symptom and look at the system, the reason is that the funder isn't willing to pay for it. The funder says overheads cannot be more than 5% — I'm not going to pay for training and all that. So the problem is the funders. What have we done? We go to funders and tell them: invest in your grantee organisations — the 100 rupees you spend will have a 200-rupee impact if you spend 10 rupees on their training. That's where we're able to get funding. So we've created a model where some of it is paid by the participating organisations or individuals, and very often some is paid by grant-making organisations and foundations.

For example, right now we're working on a very interesting one, Neharika: how to improve compliance and governance in social sector organisations. Every time you look at the news, you see that someone has lost their FCRA registration, someone has lost their 80G, someone has shut down because of some fraud. We realised that if you become good at compliance and governance, you'll attract better funding, and you'll also achieve better impact, because you'll be resilient and last longer. So today we're doing a big piece of work on strengthening compliance and governance in the sector. If I had just offered a training programme and said, send your people for compliance and governance training, nobody would have sent anyone. We were fortunate to get funding from a foundation that said this is a very good idea because it can make a big difference to the sector across the country — we'll give you the money, you design it and work with organisations. So today we're working with some 600 people, but more than that, we're creating knowledge, assets and frameworks so that it can spread much more widely. The funding doesn't come from the organisations; it comes from the grant-making side. You have to think differently when you work in this sector, because the equations are different, so you also have to be innovative about how you structure the financial planning. But at a fundamental level, there's no money available directly for executive education in this country.

Neharika Vohra: Now coming to ISDM, a few more questions. How do you manage funding for your own organisation?

Ravi Sreedharan: There are many things; I'll tell you a few that come to mind. Two things I believe are very, very critical. First, you need a very clear theory of change: what are you doing, what will change because of what you do, and why is that change important for this country? That narrative is very important, and we have a lot of clarity on it. The second, which I'm very fortunate to have, is credibility. Because I'm an IIT and IIM alumnus, it's far easier for me to gain credibility with a funder — this person doesn't need to steal money, and he knows how to run organisations. So I actually have an advantage, unfortunately.

Neharika Vohra: And why not?

Ravi Sreedharan: So that's the second. And the third, which I didn't realise when I started, is having a very big, bold vision. I realised that funders like to back bold ideas from credible people with a clear idea of what they want to do. One of my contemporaries from IIMA, Janat Shah, who went on to become director of IIM Udaipur, once told me: Ravi, never bring the bar down on what you've been talking about. I've always said this country can be a far better place if we're able to build development management capability. That's what inspires people — don't ever lose that. So the big vision, the credibility of my background, which is more a privilege, and the clarity of our theory of change are what have helped me. That's the basic side.

The other is the interaction with the funder. It's an investment — you don't walk in and walk out with money. I've had a funder give me money after seven years of conversations. It's a relationship-building process. There are the odd ones who will give you money fairly quickly, but mostly it comes down to the effort of building the relationship. That very often involves them listening to what I'm doing, how things are working and what progress has been made, and in some instances involving them — visit my campus, meet some students, come with me to the field, and so on. There's a lot of relationship building. And third, thanks to my own background: are you strategic? Which funders are you going to? What proposition will appeal to different categories of funders? How do you structure it? There's a whole science to how you go about it. It's not just going and begging for money — not at all. You have to think about it strategically, build the relationships, and have the basic content in place.

We've been very fortunate so far. Another reason we've been fortunate, Neharika, is that the philanthropic ecosystem has also been changing over these ten years. Increasingly, people want to invest in driving systemic change rather than solving individual problems. That's one reason ISDM has become the kind of place people want to invest in.

Neharika Vohra: It's a fulcrum.

Ravi Sreedharan: The second reason is a growing belief that this country needs institutions like the IITs and IIMs to become stronger and have long-term impact — the idea of building an institution that inspires the nation and drives change. So we're also fortunate to be at a time when the winds are in our favour. A combination of things has worked very well. We've been very fortunate with our funding, and we've almost never had to plan around a funding constraint. It has always been about what we want to do, and then we've gone and found the funding — never, we can only raise this much, so what do we do within that? It's been a mindset of abundance rather than scarcity.

Neharika Vohra: What is the strength of ISDM? How many staff members?

Ravi Sreedharan: Today we have just under 100 people working at the institute permanently. We probably have another 35 to 40 faculty who come and go, because they're not permanent. And then there are lots of individual volunteers who give their time pro bono — batchmates, senior people. So roughly 80-odd full-time employees.

Neharika Vohra: That's very big. My second-to-last question: in the social sector there is also the whole question of succession. How have you planned succession at ISDM, and what's happening there?

Ravi Sreedharan: When we started working on development management, we studied the world of business. Business moved from founder- or owner-led organisations to manager-led organisations, and managers take a very different approach to leadership and management compared with owners — they're less emotional about it and more driven by structures, rewards and so on. So we said this sector also needs to move from founder-led organisations to professionally led ones. Most organisations are founder-led. Then we said to ourselves — going back to your earlier point, you have to live what you preach — what does that mean for ISDM? Very early on, we said the founders will not remain forever, not even in the medium term.

When we first wrote the articles of association — you need to own shares, though they're not-for-profit and have no value — we said these shares are not inheritable. They go to a body we created. Over time, we created what we call a Board of Governing Trustees, Neharika. It's a combination of people who gave money, subject matter experts, and about 10% alumni. It's a body with a defined membership and tenure, and that is the body that owns ISDM. The founders have become members of that board. So we're moving away from running the organisation to being members of the Board of Governing Trustees — one of 20-odd people, a number that may rise to 30 or 40. The idea is that ownership and governance, because this is an institution, need to outlive all of us. We've created a governance structure that has no need for the founders to be involved.

The second thing is the running of the organisation. For about seven years, the founders pretty much led and ran it. About two or three years ago, the founders said — and by the way, we have built a very solid leadership team, which could be the envy of a good corporate anywhere in the world. It happens to be an all-women leadership team — actually, not by coincidence; it's by design. As an aside, 80% of the people who work at ISDM are women; only 20% are men. But coming back: we built a leadership team capable of running the organisation, so the founders said, the leadership team will run the organisation. All day-to-day operations are run by the leadership team, and the founders focus on the future of the institution. We call these the exploratory team and the consolidation team — I think IT companies use terms like "run the business" and "change the business." We realised that for an organisation that's constantly growing, somebody has to be planning for what should happen three years from now, five years from now, and so on. So the founders moved into that part.

In some sense, we are already one step out of the organisation — running it is now done by others. And in the next two or three years, we want to move into the Board of Governing Trustees. As president, I have just started a succession plan. We're looking for a president, and it's not going to be another founder — we're looking to bring in somebody from outside, and a charter has been written on how the institution will be managed. So we've already put in place all the tracks and rails for exiting the organisation, and for a governance that will certainly outlast our lifetimes.

Neharika Vohra: I'm so happy and so proud to hear that that's what you're doing.

Ravi Sreedharan: Thank you so much.

Neharika Vohra: My final question is for young people who may be listening. If they want to join the social sector, or build a career around developing leadership capacity, what are two or three things they should keep in mind? Should they even try it, or not?

Ravi Sreedharan: Especially if you're in India. This country is growing at an average GDP growth rate of about 7.5%, and might even push past 8%. In about 25 years, the arithmetic tells you, this will be a \$25 trillion economy. That's humongous. That in itself doesn't matter to me. But the country spends about 8% of its GDP on development. Today, that's \$350 billion, and it's going to become \$2 trillion over the next 20 years — as big as this country's entire GDP was about 15 years ago. Two trillion dollars of development capital will be available to this country. India has never had this sort of development capital available to make a difference to its people. So I think there's a huge, unprecedented opportunity to make a difference to society and the country over the next 20 to 30 years. I would urge a lot of young people to think about how they want to participate in making that difference, because the capital is going to be there and the talent is what's required. Are you the talent that will make that capital work for a better society? If we don't, we'll end up with a very unequal country. When growth happens without development capital being used well, you create an unequal country — all of us know that.

That's one high-level reason to think about such careers. The second: there are lots of terms nowadays — Gen Z, Gen Alpha, and so on. I find that their aspirations, because of where their families sit on Maslow's hierarchy, are far more evolved than ours were when we started our careers 40 years ago. Their choices are driven by purpose, meaning, making a difference, living a meaningful life. So more and more people will choose careers not in engineering or medicine or the usual things — or even an MBA, for that matter — but careers that make a difference.

My point to them would be: invest in yourself. It's not just about passion. You need to study the space and develop the competencies, attitudes and mindsets. The worst thing you can do in the social sector is not invest in yourself. How do you invest? Study. If you want to come in on the management side, then obviously places like ISDM. If you want to go into social work, the MSW programmes. If you want to go into the science of it, development studies. But invest in yourself before coming into development work, and don't come in just because you're a privileged person. That's the second thing. The third is that the ecosystem is increasingly becoming more economically meaningful as well. There are economically viable careers in the social sector. Today it's not unthinkable for the CEO of an NGO to have a salary of over a crore — that was unheard of 10 to 15 years ago. So it is happening. Yes, you won't get the 100-crore salaries you might get in some corporate jobs, but those are a minority anyway. So I think the economics of the social sector will also start to look better — that's my own view. And today a lot of people are also working out for-profit social enterprises. So money needn't be a constraint, and you can

think of different ways of doing things.

But the final thing I would say to young people — and I say this to everybody — is this. Our generation, as parents, has brought them up in a bubble. They study in a good private school, go to school in a bus, eat at fast-food places and fancy restaurants. Things just seem to happen: the house gets cleaned, the car gets driven. We've created a bubble. There is an India and there is a Bharat. India is the people in this bubble, who see one narrow sliver of the country and have no clue about Bharat — and that includes my own children, who aren't here today, and that whole generation. They think caste isn't a problem, women are treated fairly, everybody has equal opportunity, and all of us celebrate all religions — not realising that the rest of the country isn't like that. So I always tell people: build the curiosity and interest to know. For example, if there's a woman who works in your house, ask her one day to take you to her home, which might be just a kilometre away from where you live. See: does she have drinking water? Does she even have a toilet? Are six people sleeping in one room? What is the life they're living?

Developing that curiosity is very, very critical for me, because once you develop it, you'll naturally do things that make a difference — whether you're in business, in government or in the social sector. It's a myth that you can only make a difference in the social sector. In fact, you need all of samaj, sarkar and bazaar — society, government and markets — to make a difference. It doesn't matter which career you choose, as long as you're aware. And the problem has been created by parents like us. We have a habit of sanitising everything for our children. We don't want them to see the bad, the ugly, the violent, so they've become like that too — they can walk past a 13-year-old girl with a baby in her arms begging at a traffic signal without even noticing. We've desensitised ourselves to all that, and becoming sensitised to it is a big thing for me.

Neharika Vohra: Interesting. Thank you, Ravi, for being so honest and so transparent in what you said, and for the wonderful work you're doing. I really hope it inspires many other people. Thank you again for your time.

Ravi Sreedharan: Neharika, thank you so much for giving me this opportunity, and for what you do to bring these stories to more people, so that hopefully they inspire many others to do even more amazing things.